

Fundamental Analysis II

Ratios & Valuation

Explained so simply a 10-year-old gets it

From reading the numbers to grading them — the ratios that reveal a great business, and the two ways to judge if the price is actually fair.

Stock Market Mastery Roadmap • Intermediate Level
Educational only — not investment, trading, or tax advice.

In Chapter 6 you learned to **read** a company's report cards. Now you learn to **grade** them. **Ratios** are just clever fractions that let you fairly compare a tiny shop with a giant company — and **valuation** asks the big question: *is the price fair?* We'll keep using **Riya's Lemonade Stand**. 🍋

🔧 Profitability & efficiency: how good is the engine?

These ask, "for the money put in, how much comes back?"

Ratio	In plain words	Think of it as...
ROE	Return on the owners' money.	profit per ₹100 you put in
ROCE	Return on all money used (owners + loans).	engine power on total fuel
ROA	Return on the company's assets .	profit per ₹100 of <i>stuff owned</i>
Asset turnover	How busy the assets are — sales per ₹ of assets.	how many times you spin your stock
Operating margin	Profit kept from running the business.	₹ kept per ₹100 of sales

THE SINGLE MOST IMPORTANT TEST

ROCE must beat the cost of capital. If Riya's money costs her **10%** (loan interest + what she could've earned elsewhere) but the stand only returns **7%**, she is *destroying* value even while "making a profit." **Return > cost = value created.** That's the whole game.

⚖️ Leverage & liquidity: is it safe?

Leverage = how much debt. **Liquidity** = can it pay its bills soon? Too much debt is like riding a bike too fast downhill — great until you need to stop.

- **Debt / Equity** — how much it **borrowed** vs owners' money. High = riskier.
- **Interest coverage** — how **easily** profit covers the loan interest. Low = scary.
- **Current ratio** — short-term assets ÷ short-term bills. Above 1 means it can pay soon.
- **Quick ratio** — the same, but *excluding* slow-to-sell stock — a stricter test.

🏷️ Per-share & market ratios: is it cheap or pricey?

These compare the **price** to what you get for it:

Ratio	What it compares	Quick read
EPS	profit split per share	bigger = more earnings per slice
P/E	price ÷ earnings	₹ paid for every ₹1 of profit
P/B	price ÷ book value	₹ paid for every ₹1 of net assets
EV/EBITDA	whole-company value ÷ core earnings	price ignoring debt structure
Dividend yield	dividend ÷ price	cash-back % each year
PEG	P/E ÷ growth rate	is the P/E <i>fair for the growth?</i>

CHEAP TRAP & DEAR DARLING

A low P/E is **NOT** automatically "cheap" — it can be a **value trap** (cheap because the business is dying). A high P/E is **NOT** automatically "expensive" — a fast-growing star can deserve it. Always ask *why* the number is what it is.

✚ The DuPont trick: where does ROE come from?

ROE = MARGIN × TURNOVER × LEVERAGE

DuPont splits ROE into three sources: **Margin** (do you keep a lot per sale?), **Turnover** (do you sell often?), and **Leverage** (did you borrow to boost it?). Two companies can have the same ROE for very different reasons — and **ROE pumped up by borrowing is the riskiest kind**.

🎯 Valuation: two ways to find "fair price"

- **Relative valuation** 🐼 — compare its multiples (P/E, EV/EBITDA) to **peers and its own history**. "Is it pricier or cheaper than similar companies?"
- **Intrinsic valuation** 📊 — estimate the company's *own* worth from its **future cash**. The main tool is a **DCF** (Discounted Cash Flow); a cousin is the **Dividend Discount Model**.

WHAT A DCF REALLY IS

A **DCF** adds up all the cash a business will make in the future, but counts **future money as worth less than money today** (because you'd rather have ₹100 now than next year). It's a **way of thinking, not a magic price** — and it's **garbage-in, garbage-out**: feed it silly assumptions and you get a silly answer.

🎨 Styles of investing (know your flavour)

- **Growth vs Value** — pay up for fast growers, or hunt for bargains the crowd ignored.
- **Cyclicals vs Defensives** — businesses that boom/bust with the economy (cars, steel) vs steady ones people always need (soap, medicine).
- **Quality investing** — favour strong, durable businesses (high ROCE, low debt) even at a fair price.

💡 Key ideas to remember

- **ROCE > cost of capital** is the **core test** of whether a company truly *creates* value.
- **A ratio alone means nothing** — a low P/E can be a trap, a high P/E can be justified. Always ask *why*.
- **EV/EBITDA neutralises debt** — handy when comparing companies with very different loan levels, because it looks at the *whole* company, not just the equity slice.
- **A DCF is a thinking framework, not a precise price** — its answer is only as good as its assumptions.

PRACTICAL EXERCISES

- 📊 **Build a one-page ratio scorecard** for one company across **5 years** and against **2 peers**.
- 📊 **Do a simple 2-stage DCF** in a spreadsheet. Then nudge the **growth** and **discount rate** by just **1%** and watch "fair value" swing — *feel* how sensitive it is.
- ✚ **Run a DuPont** on a high-ROE company: is the ROE coming from **margin, turnover, or leverage**? (Leverage-driven ROE is the riskiest.)

REAL-WORLD APPLICATION

- 📋 This turns your **IPO checklist into a valuation verdict**: is the issue **reasonably priced versus listed peers**, or **priced for perfection** (so good that any stumble hurts)?

⚠️ ONE BIG LIMIT OF VALUATION

Valuation tells you *what to own for years* — it **rarely tells you what to buy this week**. For **timing** (the *when* and *where*), you need the next two chapters on **technical analysis**.

ONE-LINE SUMMARY

Ratios grade a business fairly: **profitability** (ROE, ROCE), **safety** (D/E, coverage, current/quick), and **price** (P/E, P/B, EV/EBITDA, PEG). The master test is **ROCE > cost of capital**; use **DuPont** to see where ROE hides; value with **peers (relative)** and **DCF (intrinsic)** — remembering a DCF is a *thinking tool*, not a crystal ball.